

**Test Yourself**  
**Microeconomics**  
**Supply**

## **Section A**

Duration of each question is **40 mins**

1. Explain the determinants of supply for an agricultural product, such as rice, **and** consider which of these determinants is likely to be of the greatest significance at the present time. (8) **q2a/21/O/N/24**

## Section B

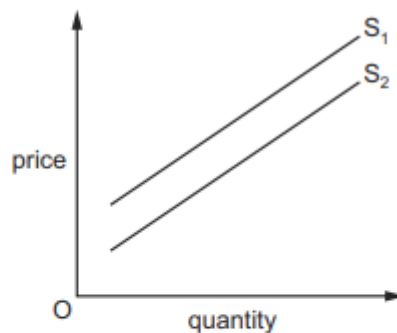
Duration 40 mins

1. The Toyota Motor Corporation makes cars in response to customer orders rather than attempting to sell cars it has already built.

If the company received a large increase in orders for its Prius model, what will be expected of its current supply curve on a demand and supply diagram?

- A It will be unchanged.
- B It will become flatter.
- C It will shift to the left.
- D It will shift to the right.

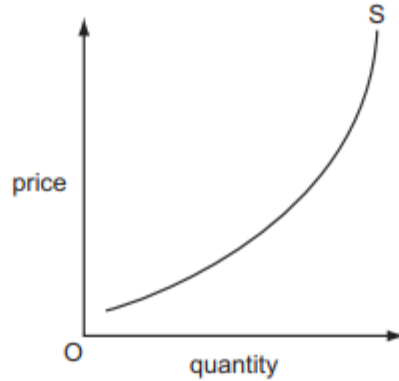
2. In the diagram,  $S_1$  is the initial market supply curve of good X.



What could cause the curve to shift to  $S_2$ ?

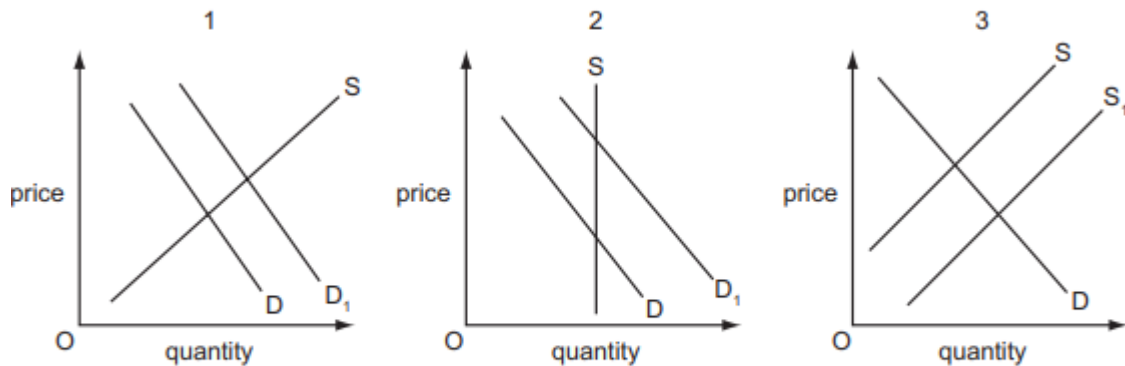
- A an increase in the price of a substitute good
- B an increase in the profitability of supplying good X
- C an increase in the wage rates paid by good X suppliers
- D the introduction of a specific tax on good X

3. The diagram shows a supply curve for beef.



What explains why the supply curve for beef slopes upwards?

- A** An increase in the demand for beef will bring about an increase in supply.
  - B** Farmers' productivity rises as the price rises.
  - C** Increased production leads to a reduction in costs.
  - D** The cost of additional beef production rises as output increases.
4. The diagrams show changes in the market for a good.



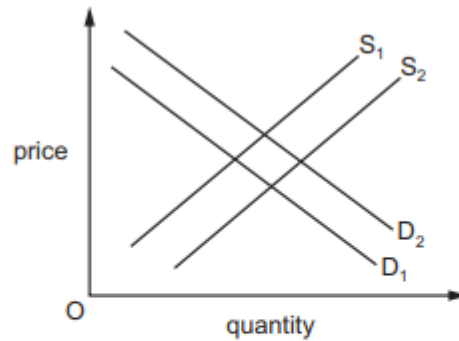
Which show(s) an increase in the quantity supplied?

- A** 1 and 2      **B** 2 and 3      **C** 1 only      **D** 3 only

5. In calculating the short-run supply schedule for a firm, what is assumed to remain unchanged?

- A the number of consumers
- B the price of the good
- C the quantities of all factors
- D the state of technology

6. In the diagram shown,  $D_1$  and  $S_1$  are the initial demand and supply curves for the US car market.



What will cause the demand curve for cars to shift to  $D_2$  and the supply curve for cars to shift to  $S_2$ ?

- A a fall in real income and an increase in a unit tax on cars
  - B a fall in unemployment and the removal of subsidies from the car industry
  - C a rise in the price of bus fares and a fall in the cost of production of the car industry
  - D a rise in the price of petrol and a fall in the number of firms in the car market
7. A manufacturer's ability to increase supply in the short run will be greater
- A if labour is immobile.
  - B if spare capacity exists.
  - C if the product is perishable.
  - D if unemployment is low.

8. The demand for tablets increases, while the cost of producing them decreases.

What will be the effect on the price of tablets and on the quantity supplied?

|          | price     | quantity  |
|----------|-----------|-----------|
| <b>A</b> | fall      | uncertain |
| <b>B</b> | rise      | increase  |
| <b>C</b> | uncertain | increase  |
| <b>D</b> | uncertain | uncertain |

9. What will **not** cause a shift in the market supply curve of a commodity?

- A** a change in technology
- B** a rise in the price of a factor input
- C** a rise in the price of the commodity
- D** the introduction of a specific tax on the commodity

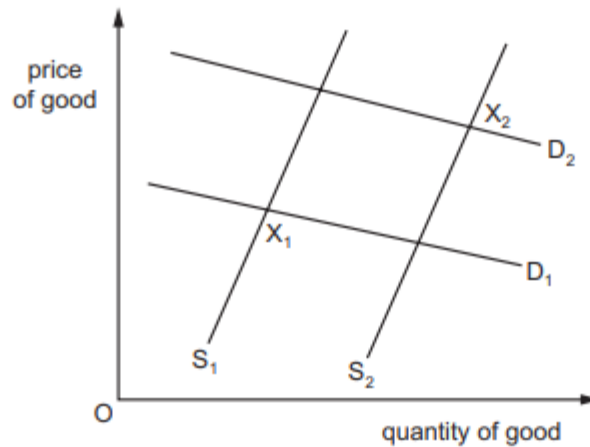
10. What is most likely to increase the quantity of houses supplied?

- A** a policy to help house buyers on modest incomes
- B** a restriction on the level of rent that can be charged
- C** a rise in the tax on materials used for building houses
- D** the removal of a subsidy to house builders

11. What will happen to an industry's supply curve if firms leave the industry?

- A** It will shift to the left at any given price.
- B** It will shift to the right at any given price.
- C** There will be a downward movement along the supply curve.
- D** There will be an upward movement along the supply curve.

12.  $D_1$  and  $S_1$  are the initial demand and supply curves for a normal product. They then change to  $D_2$  and  $S_2$ .



Which pair of changes would result in the market equilibrium for the product changing from  $X_1$  to  $X_2$ ?

- A a fall in the price of a raw material used in the manufacturing and a decrease in the price of a complementary good
  - B an increase in average consumer incomes and an increase in the level of an indirect tax imposed
  - C an increase in the price elasticity of demand for the product and a fall in its price elasticity of supply
  - D a rise in the population and an increase in the price of labour used in manufacturing
13. A change in market conditions causes a reduction in supply. This results in a higher price for the product, which has a downward-sloping demand curve.

What must be the outcome of this higher price?

- A a decrease in the demand for substitutes
- B a decrease in the quantity demanded
- C an increase in the factors employed in the industry
- D an increase in producer's revenue

14. The soap industry consists of several firms. Firm X produces a small percentage of total output.

What is likely to cause the supply curve for firm X to shift to the right while the market supply curve shifts to the left?

- A Firm X has improved technology while other firms have higher input costs.
- B Firm X has to pay a large fine for polluting a river while other firms have a tax reduction.
- C Firm X is involved in a strike while other firms enter the industry.
- D Firm X's rent and interest charges increase while other firms receive a government subsidy.

15. On a demand and supply diagram, other things remaining the same, a fall in the price of a commodity will normally shift

- A the demand curve for a substitute to the right.
- B the demand curve for the commodity to the right.
- C the supply curve for a jointly produced commodity to the left.
- D the supply curve for the commodity to the left.

16. Jam and honey are substitutes. Honey and beeswax are in joint supply.

Other things being equal, what will be the result of an increase in the price of jam?

|   | price of honey | price of beeswax |
|---|----------------|------------------|
| A | fall           | fall             |
| B | fall           | rise             |
| C | rise           | fall             |
| D | rise           | rise             |

17. A supply curve is represented by the equation, quantity supplied =  $10 + 5P$ , where  $P$  = the price of the product.

Which price rise would cause the quantity supplied to double?

- A \$1 to \$2      B \$1 to \$3      C \$1 to \$4      D \$1 to \$5

18. What is an accurate statement about a production subsidy?
- A It causes demand for the good to increase so the demand curve shifts to the right.
  - B It enables firms to supply more so the supply curve shifts to the left.
  - C It is financial assistance to firms from the government to help increase output.
  - D It is money taken from firms by the government to reduce harmful side effects of production.

19. The demand for a good falls at the same time as its costs of production decrease.

What will be the combined effect of these changes on the price and on the quantity supplied of the good?

|   | price     | quantity supplied |
|---|-----------|-------------------|
| A | decrease  | decrease          |
| B | decrease  | uncertain         |
| C | uncertain | decrease          |
| D | uncertain | uncertain         |

20. Goods X and Y are complements and have upward-sloping supply curves.

What will be the effect on the equilibrium price and quantity of good X of an increase in the supply of good Y?

|   | quantity of X | price of X |
|---|---------------|------------|
| A | decrease      | decrease   |
| B | decrease      | increase   |
| C | increase      | decrease   |
| D | increase      | increase   |

# MARKING SCHEME

## SECTION A

| Question | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Marks |
|----------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------|
| 1        | <p><b>Explain the determinants of supply for an agricultural product, such as rice, <u>and</u> consider which of these determinants is likely to be of the greatest significance at the present time.</b></p> <p>Follow the point-based marking guidance at the top of this mark scheme and award:<br/>up to 3 marks for AO1 Knowledge and understanding, up to 3 marks for AO2 Analysis, and up to 2 marks for AO3 Evaluation.</p> <p><b>AO1 Knowledge and understanding (max 3 marks)</b></p> <p>A knowledge and understanding of the determinants of supply for an agricultural product, such as rice (there should be at least <b>two</b> determinants):</p> <ul style="list-style-type: none"> <li>• physical factors, e.g. climate and soil</li> <li>• institutional factors, e.g. land tenure and land reforms</li> <li>• infrastructural factors, e.g. irrigation and storage facilities</li> <li>• the price of rice and the prices of other agricultural products.</li> </ul> <p><b>AO2 Analysis (max 3 marks)</b></p> <p>An analysis of the importance of these determinants of supply for an agricultural product, such as rice. For example, if rice is relatively easy to store, the supply will be more elastic.</p> <p><b>AO3 Evaluation (max 2 marks)</b></p> <p>Offers a valid judgement on which of these determinants of supply for an agricultural product, such as rice, is likely to be of the greatest significance at the present time <b>(1)</b> to reach a conclusion. <b>(1)</b></p> | 8     |
|          | AO1 Knowledge and understanding                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 3     |
|          | AO2 Analysis                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 3     |
|          | AO3 Evaluation                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | 2     |
|          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |       |

## SECTION B

|            |          |            |          |
|------------|----------|------------|----------|
| <b>1.</b>  | <b>A</b> | <b>11.</b> | <b>A</b> |
| <b>2.</b>  | <b>B</b> | <b>12.</b> | <b>A</b> |
| <b>3.</b>  | <b>D</b> | <b>13.</b> | <b>B</b> |
| <b>4.</b>  | <b>C</b> | <b>14.</b> | <b>A</b> |
| <b>5.</b>  | <b>D</b> | <b>15.</b> | <b>C</b> |
| <b>6.</b>  | <b>C</b> | <b>16.</b> | <b>C</b> |
| <b>7.</b>  | <b>B</b> | <b>17.</b> | <b>C</b> |
| <b>8.</b>  | <b>C</b> | <b>18.</b> | <b>C</b> |
| <b>9.</b>  | <b>C</b> | <b>19.</b> | <b>B</b> |
| <b>10.</b> | <b>A</b> | <b>20.</b> | <b>D</b> |